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Company: Hike Messenger

Failure Post-Mortem: Hike Messenger

The Story

Kavin Bharti Mittal launched Hike in December 2012 as India's own messaging app, built out of a Bharti and SoftBank joint venture. It was designed for Indian constraints that WhatsApp ignored: free SMS when there was no data, offline file sharing, hidden chats, and stickers in around 40 regional languages. It grew quickly, reaching fifteen million users by February 2014 and 100 million registered by January 2016, and in August 2016 it raised a $175 million Series D led by Tencent and Foxconn that valued it at $1.4 billion and made it India's tenth unicorn. Total funding came to about $261 million. Hike shut the messaging app on 6 January 2021, pivoted to real-money gaming with Rush, and wound up the whole company in September 2025 after India banned RMG. Mittal has said publicly that Hike closed messaging with over 20 million actives still on it.

Failure Diagnostic

Cause	**Yes / No**	**What went wrong**
Problem	No	-
Customer	Yes	Hike went after teenagers with stickers, hidden chats and a deliberately youthful brand. Teenagers do not pay, and they do not bring their parents and colleagues with them. The group chats that decide which app stays on your phone are family and work ones, and Hike never won those.
Product	No	-
Positioning	Yes	Hike sold itself as India's answer to WhatsApp, which describes a substitute rather than a category. It then became a super app, and by 2019 it had unbundled into something called Hike Sticker Chat. Three identities in seven years, and the last name told users the app was an accessory.
Business Model	Yes	There was never a revenue engine. Messaging was free, ads never scaled, and the UPI payments feature added in 2017 came after the market had settled. The company raised about $261 million and never built anything that paid for itself.
Timing	Yes	Hike launched in December 2012, into a market that was in the middle of tipping. Facebook bought WhatsApp in February 2014. When Hike announced 100 million registered users in January 2016, WhatsApp had roughly 100 million monthly actives in India, then 200 million by February 2017 and 400 million by July 2019. Messaging is winner-take-all, and the winner was pulling away before Hike had scale.
Execution	No	-
Ethics and Governance	No	-

Primary Cause

Timing is the primary cause. Messaging is winner-take-all because the app's value is entirely who else is on it, and in India that question had largely been settled by 2014. The things Hike did well could not move it. Business model comes second, since with no revenue Hike was always spending investor money to buy users it had no way to hold. Positioning is third, because calling yourself the alternative to WhatsApp concedes that WhatsApp is the default. The customer choice ranks fourth. It made things worse, though a better segment strategy would not have beaten a closed network.

Type of Failure

This was a failure of the model rather than the idea or the execution. The idea was sound and the product was good, which Mittal himself has said: being very good at something does not mean you can win. It is not really a valley of death case. Hike crossed from prototype to mass adoption without much difficulty and then failed at the step after, converting that adoption into either an exclusive network or revenue. On preventable versus intelligent, it is both at different times. In 2012 it was an intelligent failure, a fair bet under real uncertainty when nobody knew WhatsApp would take the whole country. By 2016 the evidence was in, and making the same bet again was preventable.

The One Decision That Would Have Changed It

In August 2016, Kavin Mittal and the board raised $175 million at a $1.4 billion valuation from Tencent and Foxconn, and spent it continuing to fight WhatsApp head-on in Indian messaging. The alternative was sitting on the same cap table. Tencent had turned WeChat from a chat app into payments, commerce and mini-programs, and Bharti gave Hike access to Airtel's distribution. Hike had 100 million registered users, an investor who had run that exact playbook, and a telco parent. The round should have bought a change of category rather than more runway in one Hike could no longer win.

Had Hike used that money in 2016 to build commerce and services on the base it had, rather than trying to win chat, it would have been building in territory WhatsApp was not yet cleared to enter. It tried a version of this with UPI payments in 2017, roughly three years late and while still fighting the messaging war. I do not think an earlier pivot saves the company as a $1.4 billion business. UPI turned Indian payments into a public rail anyone could plug into, so the layer WeChat owns in China was never available to own here. What it changes is the ending. The same $261 million and nine years produce a smaller company with real revenue, instead of four more years spent on a contest Hike could not win.

What This Teaches

In a market with strong network effects, having the better product does not help much once users have settled. The question to ask before raising money is not whether your product is better but whether the market has made its choice, because after that the advantage does not transfer. When a round comes in, the test is whether the money buys a different position or just more time in the same one.